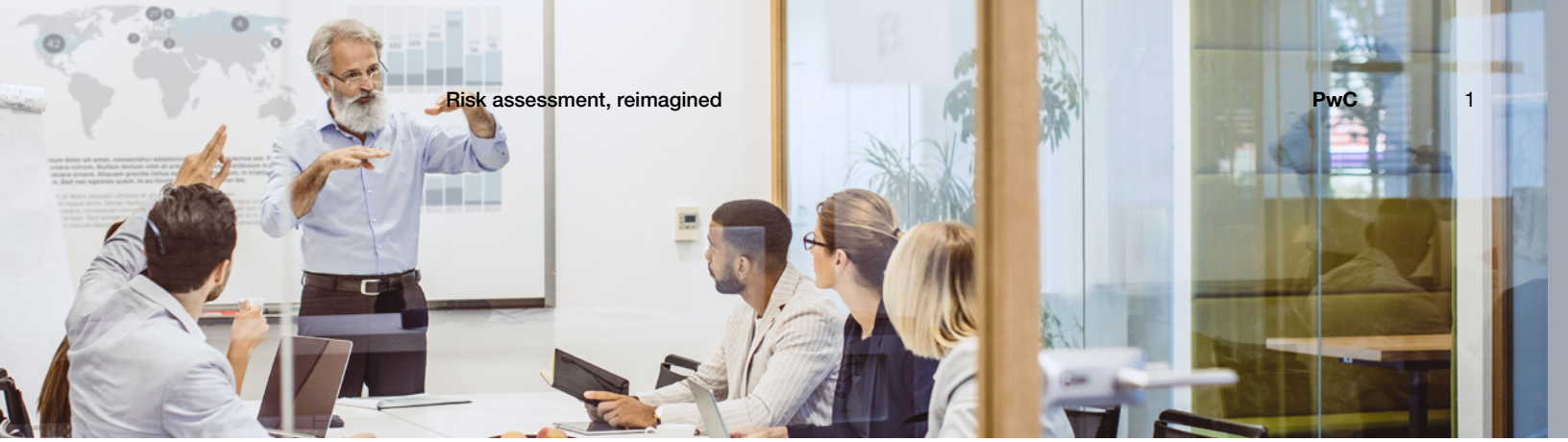
pwc

Risk assessment, reimagined

Moving from annual planning to dynamic, data-driven risk coverage





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Moving from annual planning to dynamic, data-driven risk coverage

Internal audit's risk assessment has long served as the foundation for audit planning. But as organizations navigate accelerating technology transformation, evolving regulatory expectations, geopolitical uncertainty, and changing business models, many are finding that an annual risk assessment alone is no longer enough. Continuous risk sensing has long been the gold standard of audit planning; however, clunky and data-heavy processes have made it largely impractical. Now, with improved systems, centralized data platforms, and artificial intelligence (AI) tools, it's finally within reach.

To better understand how internal audit (IA) functions are adapting, PwC surveyed IA leaders on their risk assessment practices and objectives in early 2026 across a variety of industries and geographies. The results reveal a profession in transition: IA functions recognize the need for more dynamic and responsive risk assessment processes, yet many haven't yet fully embedded the capabilities required to make that shift.

Survey insights

The survey highlights five themes shaping the future of IA's risk assessment: dynamic risk assessment inputs, stronger alignment with Enterprise Risk Management (ERM), more continuous audit planning, translating the risk assessment results to IA coverage, and incorporating the use of AI.

Dynamic risk assessment inputs

Many IA functions continue to rely heavily on traditional risk assessment inputs such as management interviews, prior audit results, and strategic plans. While these remain valuable, relatively few organizations have embedded forward-looking risk signals. At the same time, management's view on risk, defined risk appetite and tolerances continue to remain foundational to an effective risk assessment.

- 16% refresh their risk assessment and audit plan quarterly or continuously
- 25% use key risk indicators (KRIs) or key performance indicators (KPIs) as risk assessment inputs
- 85% rely on management interviews as a primary input. The average effort and interview count for the risk assessment cycle is 50 interviews, taking approximately 225 hours
- 87% use external thought leadership and industry publications, demonstrating keen interest in outside-in risk perspectives

Source: PwC Risk Assessment Survey, March–May 2026



What success can look like

- Management interviews remain core, but are paired with forward-looking KRIs, incident data, and strategy signals
- Leverage AI to generate smarter interview questions as well as analyze and consolidate interview results
- Refresh cadence is built into the year rather than limited to annual planning

How you can get there

Risk assessment inputs

- Standardize core risk signals across ERM, incidents, strategy, performance, and external indicators
- Establish a common taxonomy to enable consistent trending and comparison
- Work with management to define risk appetite, tolerances, and thresholds
- Link dynamic signals directly to the risk universe and risk assessment results

Risk assessment refresh

- Shift from an annual assessment to, at minimum, a quarterly refresh
- Use trigger-based updates and dashboard monitoring for significant changes
- Clarify ownership for ongoing refreshes and escalation

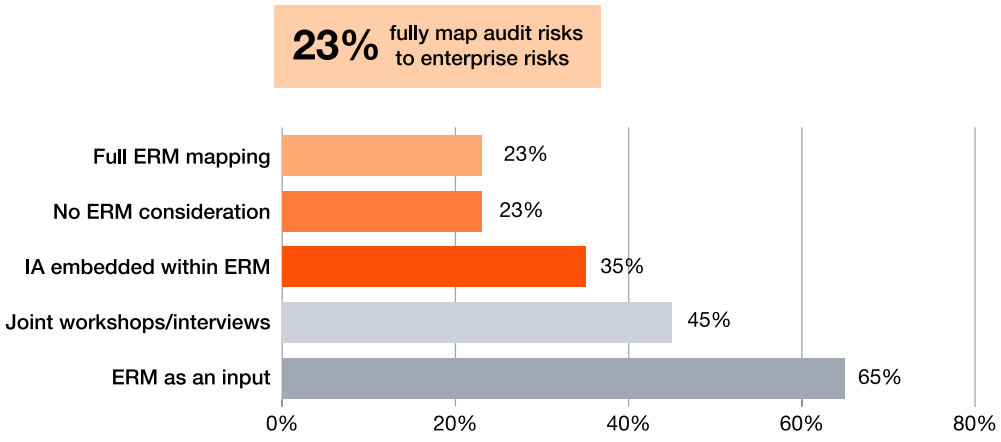
Maturity continuum

Basic	Evolving	Advanced
• Interview-led and largely backward-looking • Annual or multi-year cycle • Limited external sensing	• Incorporates strategy and ERM inputs • Broader stakeholder coverage • Periodic refreshes	• Blends KRIs, external signals and richer analytics • Quarterly or continuous refreshes

Alignment to ERM

ERM is widely referenced during IA planning, yet formal alignment between enterprise risks and IA coverage may remain limited and sometimes occurs after the fact. Without clear mapping between enterprise risks, audit themes, and audit coverage, organizations may struggle to demonstrate IA's alignment to strategic priorities, identify coverage gaps, or explain audit plan changes as risks evolve.

How internal audit links to ERM



Source: PwC Risk Assessment Survey, March-May 2026

What success can look like

- IA and ERM share a common risk taxonomy and language
- IA's risk assessment and the ERM process are coordinated, and core activities are routed in the same data and activities
- Audit risks and planned coverage are explicitly mapped to top enterprise risks, allowing leaders to clearly see alignment, overlap, and coverage gaps (example in the table below)
- ERM linkage supports more dynamic reprioritization as risks change

How you can get there

- Align risk definitions, categories, and scoring across IA and ERM
- Establish joint refresh points, workshops, and governance with ERM
- Map audit topics and auditable entities to enterprise risk themes
- Use the mapping to inform planning, reporting, and plan updates

Example in the table on the following page

Maturity continuum

Basic	Evolving	Advanced
• ERM is separate or used only as a reference input	• Shared workshops and interviews align to a shared view of risk	• IA and ERM share a connected taxonomy or mapped portfolio

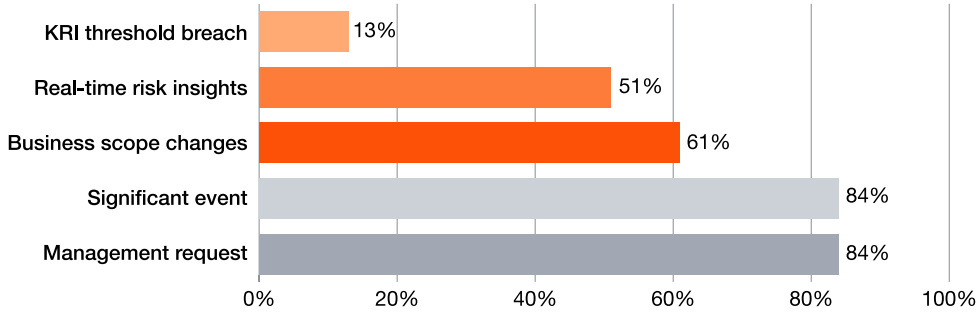
ERM top 7 risks		IA plan alignment	IA project	Key risk indicators
1	Cybersecurity and data privacy	Direct coverage	Incident Response	• Security incidents • Critical vulnerabilities
2	Regulatory and compliance change	Direct coverage	Internal Controls over Financial Reporting (ICFR) Testing	• Regulatory findings • Compliance breaches
3	Strategic execution risk	Limited coverage	Process Transformation	• Milestone delay • Program status
4	Operational resilience/Business continuity planning	Limited coverage	Cloud Security	• System downtime • Recovery performance
5	Third-party/supply chain risk	Direct coverage	Tariff and Customs	• Vendor failures • Delivery delays
6	Talent and workforce risk	Risk monitoring	N/A	• Employee attrition • Engagement scores
7	Financial performance and liquidity	Direct coverage	ICFR Testing	• Cash flow trends • Forecast precision

Continuous audit planning

Many IA functions have introduced more frequent discussions around risk, yet audit plan changes continue to be driven primarily by major events rather than predefined risk triggers. The shift from annual planning to dynamic planning is underway, but most IA functions remain event-driven rather than indicator-driven.

Triggers for audit plan reassessment

13% leverage predefined KRI thresholds to help drive audit plan adjustments



Source: PwC Risk Assessment Survey, March–May 2026

What success can look like

- Dynamic audit plan, refreshed as risk changes
- KRIs or external events shape decisions in real time
- Risk themes convert into a living portfolio of audit work
- Trigger-based updates make plan changes routine
- Clear governance enables rapid reprioritization

How you can get there

- Move from annual planning to dynamic audit planning, where real-time risk insights continuously shape audit priorities and coverage
- Use trigger-based updates, not only major events
- Expand inputs to include KRIs or management requests
- Maintain regular stakeholder dialogue
- Build flexibility into the audit plan
- Track, defer, cancel, and rescope decisions with rationale

Maturity continuum

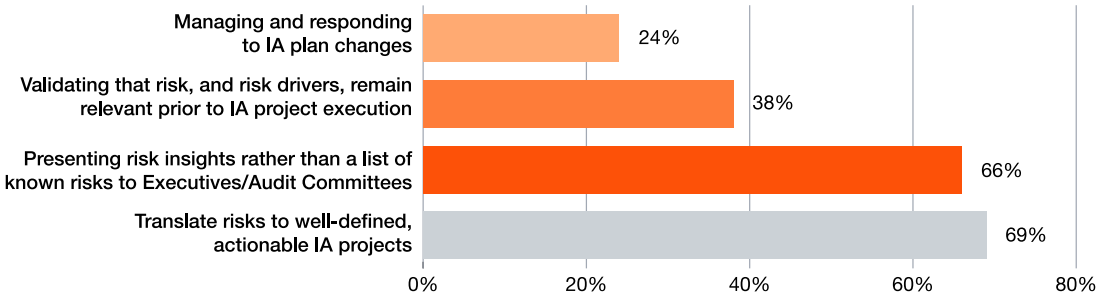
Basic	Evolving	Advanced
• Fixed annual plan • Changes mainly after major events or management requests	• Quarterly or scheduled refreshes • Changes to the audit plan occur when new facts surface	• Dynamic plan with explicit triggers • KRIs and real-time sensing reshape coverage

Translating risk into IA coverage

While organizations are collecting more risk information than ever before, many IA functions struggle to articulate how their audit plans address the organization's most significant risks. As risk assessments become increasingly dynamic and audit plans evolve, communicating the rationale for audit decisions, demonstrating risk coverage, and reinforcing the value of the audit plan become just as important as the assessment process itself.

Risk assessment and audit planning challenges

69% cite translating risk assessment results into actionable audit projects decisions as a key challenge



Source: PwC Risk Assessment Survey, March–May 2026

What success can look like

Executive presentation

- Clear view of the risk that's changing, what are the risk drivers causing the change, and the underlying people, processes, and technology that underpin the risk
- IA has continuous conversations with the Executive Teams on how risk is changing and the impacts on the audit plan

Audit choices

- Audit priorities clearly align to the biggest risk shifts
- Changes in scope, timing, and coverage are explicit
- Tradeoffs are visible, including what moved up or down

How you can get there

- Standardize risk themes, scoring, and triggers
- Refresh the risk view with internal and external signals
- Link top risks to specific audit actions and plan changes
- Use visuals that show change, impact, and tradeoffs
- Revisit priorities on a regular cadence, not just annually

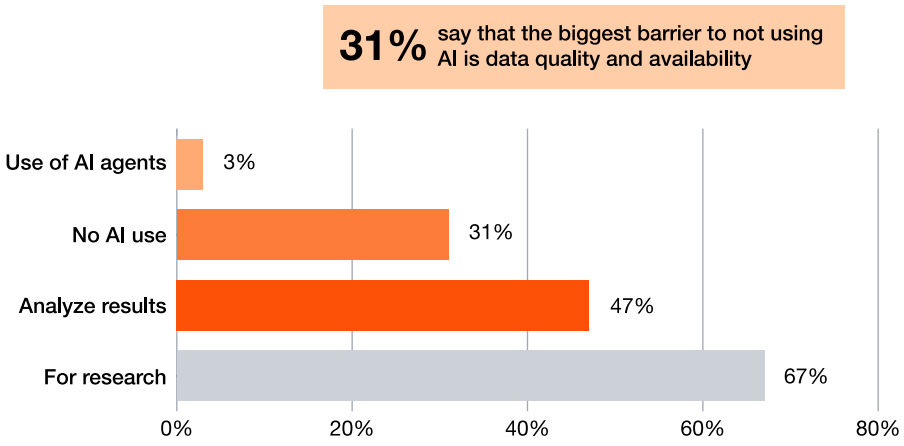
Maturity continuum

Basic	Evolving	Advanced
• Committee sees a familiar risk list • Reporting is retrospective with limited strategic context	• Themes are prioritized and linked to risk drivers • Some analytics or ERM context included	• Decision-ready narrative • Exposure shifts, audit choices, and implications are explicit

Use of AI

AI is beginning to reshape the IA risk assessment process, though adoption remains concentrated in foundational use cases. Over time, AI's greatest value may come from its ability to continuously synthesize large volumes of internal and external data, helping IA identify emerging risks, monitor changing conditions, and focus resources where they're needed most.

AI use in the risk assessment process



What success can look like

- AI is embedded in the risk assessment process to identify changes to risk internally and externally, identify trends and themes
- Internal and external signals are synthesized faster and more consistently
- AI surfaces emerging risks and potential audit topics for consideration
- Outputs are transparent, traceable, and supported by human judgment

How you can get there

- Start with low-risk use cases like summarization, tagging, and signal monitoring
- Standardize inputs, taxonomies, and data quality checks
- Add guardrails for transparency, review, and documentation
- Expand into analytics that detect risk shifts and rank audit topics

Maturity continuum

Basic	Evolving	Advanced
• No AI in the risk assessment process	• AI supports research, summarization, and initial framing	• AI continuously monitors data to identify emerging risks, informing assessment reporting, and bridging ERM and IA

PwC's **Internal Audit Orchestration Suite** Risk Assessment module helps IA identify, prioritize, and monitor risks through integrated risk sensing, stakeholder insights, analytics, and AI-enabled capabilities that support more informed risk assessment and audit planning decisions.

In addition, our **Deep Research** capability enables IA to proactively identify emerging risks by synthesizing external intelligence, industry developments, regulatory changes, and other risk signals into actionable insights that strengthen risk assessments and audit planning.



Practical ways to modernize the risk assessment process

Many IA functions don't need to transform the risk assessment process all at once. Progress can start with practical improvements and mature over time.

Near-term actions

- Refresh the audit universe against strategy, transformation priorities, regulatory change, and emerging risks
- Expand inputs beyond interviews and prior-year audit plans
- Pilot KRIs or KPIs in selected risk areas
- Map top risks to planned advisory and assurance coverage
- Enhance Audit Committee reporting with risk movement insights

Longer-term opportunities

- Develop integrated risk coverage across IA and second-line functions
- Implement risk sensing dashboards and trigger-based alerts
- Use analytics or AI to identify emerging risk patterns
- Shift to a flexible, continuously updated audit plan that adapts to real-time risks
- Use AI-enabled tools to support risk sensing and prioritization

The necessary path will vary by organization, but the objective remains the same: a practical, sustainable risk assessment process that enables timely, risk-based decisions through the right combination of governance, risk sensing, analytics, and AI.

How PwC can help

PwC helps organizations modernize their IA risk assessment processes through enhanced risk sensing, audit-to-ERM alignment, dynamic planning methodologies, and AI-enabled solutions. Through PwC's Internal Audit Orchestration Suite, organizations can also leverage AI-enabled capabilities to monitor emerging risks, synthesize internal and external risk signals, and support more dynamic, data-driven audit planning.

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